3.26. County Government of Meru

3.26.1 Overview of FY 2024/25 Budget

The Meru County Approved Supplementary I Budget for FY 2024/25 was Kshs.13.11 billion. It comprised Kshs.3.88 billion (30 per cent) and Kshs.9.23 billion (70 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represented an increase of Kshs.877.77 million (7 per cent) from the FY 2023/24 budget, which comprised a development budget of Kshs.3.75 billion and a recurrent budget of Kshs.8.48 billion. The increase in the budget was primarily attributed to the Equitable Share balances from FY 2023/24.

The budget was to be financed from various revenue sources, including the equitable share of revenue raised nationally, amounting to Kshs.10.74 billion (82 per cent), additional allocations of Kshs.1.22 billion (9 per cent), a cash balance of Kshs.47.96 million (less than one per cent) brought forward from FY 2023/24, and Kshs.1.10 billion (8 per cent) generated as own-source revenue. The own-source revenue comprised Kshs.530.00 million (48 per cent) deposited into the CRF, and Kshs.550.00 million (50 per cent) as Appropriations-in-Aid (A-I-A) spent at source. The A-I-A comprised Kshs.550.00 million (50 per cent) as the Facility Improvement Financing (revenue from health facilities). Additionally, the budget was to be financeKshs.17.00 million (2 per cent) as County revenues from Kaguru ATC, and Kshs.4.66 million (less than one per cent) from Insurance Compensation for the THS Vehicle. A breakdown of the additional allocations is shown in Table 3.313.

3.26.2 Revenue Performance

The County received Kshs.12.53 billion in revenues in the review period to fund its development and recurrent activities. This amount represented an increase of 16 per cent compared to the amount received in FY 2023/24 of Kshs.10.73 billion. The total revenue consisted of Kshs.10.74 billion from the equitable share of revenue raised nationally. Other revenue streams included additional allocations from the national government and development partners, amounting to Kshs.575.06 million, as well as own-source revenue (OSR) collection of Kshs.1.16 billion. Additionally, the County had a cash balance of Kshs.47.97 million from FY 2023/24 and received Kshs.4.66 million from other sources (Insurance Compensation for THS Vehicle).

The total OSR collection of Kshs.1.16 billion included Facilities Improvement Financing (FIF) of Kshs.758.50 million, and Kshs.404.82 million from other OSR sources. Table 3.313 summarises the total revenue available to the County Government during FY 2024/25.

Table 3.313: Meru County, Revenue Performance in FY 2024/25

S/No.	Revenue Category	Annual Budget Allocation (Kshs)	Actual Receipts (Kshs.)	Actual Receipts as Percentage of Annual Budget Allocation ()
A	**Equitable Share of Revenue Raised Nationally**	**10,735,750,492**	**10,735,750,187**	**100**
Sub total		**10,735,750,492**	**10,735,750,187**	**100**
B	**Conditional Grants**			
1.	National Agricultural Value Chain Development Project (NAVCDP)	151,515,152	65,031,923	43
2.	Aquaculture Business Development Programme (ABDP)	23,306,984	-	0
4.	Aggregated Industrial Parks Programme	187,500,000	187,500,000	100
8.	DANIDA Grant	12,382,500	12,382,500	100
10.	World Bank Emergency Locust Responses Projects (ELRP)	104,600,000	-	0
11.	Kenya Devolution Support Programme(KDSP)	37,500,000	-	0
12.	Kenya Informal Settlement Programme (KISP)II	193,506,111	175,000,000	90
13.	World Bank Credit Financing Locally Led Climate Action Programme (FLLoCA	188,269,899	-	0
14.	Fuel Levy Fund	-	102,835,642	-

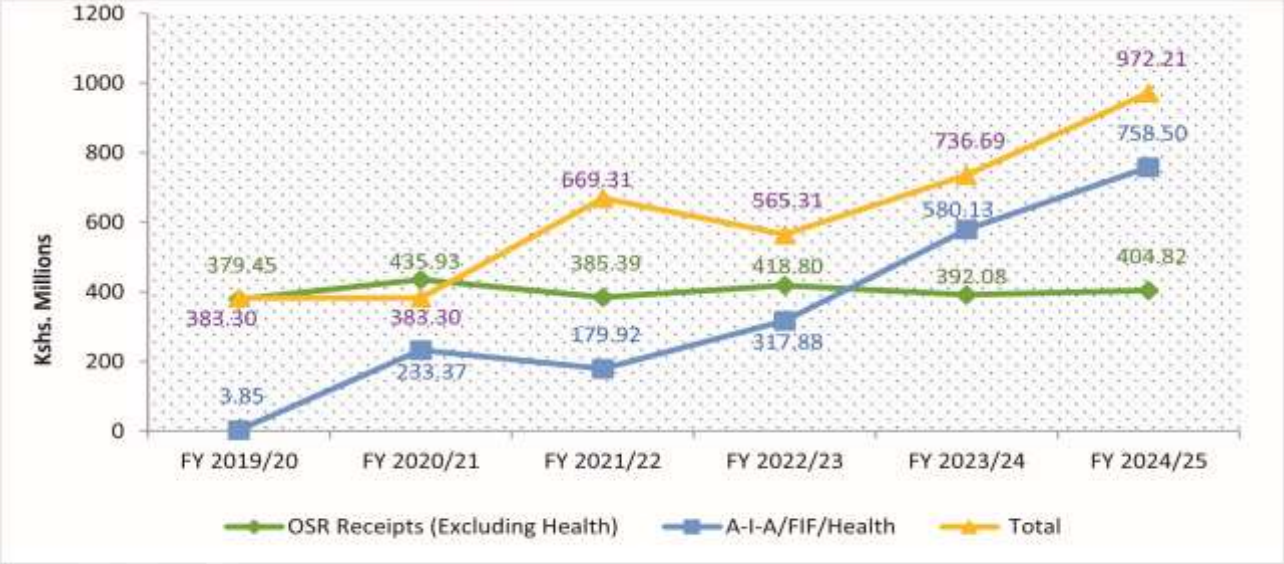
15.	World Bank KUSP (Kenya Urban Support Programme)-UIG	35,000,000	32,309,300	92
16.	World Bank KUSP (Kenya Urban Support Programme)-UDG	121,688,538	-	0
18.	Transfer to Library Services	12,902,906	-	0
19.	Community Health Promoters- conditional funding	111,480,000	-	0
20.	Basic Salary Arrears for County Government Health Workers	43,915,785	-	0
Sub total		**1,223,567,875**	**575,059,365**	**47**
C	**Other Sources of Revenue**			
14.	Ordinary Own Source Revenue	530,000,000	389,830,997	74
15.	Kaguru ATC	17,000,000	14,990,506	88
16.	Facility Improvement Fund (FIF)	550,000,000	758,499,168	138
Sub Total		**1,097,000,000**	**1,163,320,671**	**106**
D	**Other Sources of Revenue**			
17.	Unspent balance from FY 2023/24 (Inclusive of grants balances)	47,967,278	47,967,278	100
18.	Others- Insurance Compensation for THS Vehicle	4,660,700	4,660,700	100
Sub Total		**52,627,978**	**52,627,978**	**200**
Grand Total		**13,108,946,345**	**12,526,758,200**	**96**

Source: *Meru County Treasury*

Facility Improvement Fund (FIF) performance exceeded 100 per cent of the annual target, primarily due to revenue underbudgeting. The County has governing legislation on the operation of ordinary A-I-A and FIF.

Figure 101 shows the collection trend in own-source revenue from FY 2019/20 to FY 2024/25.

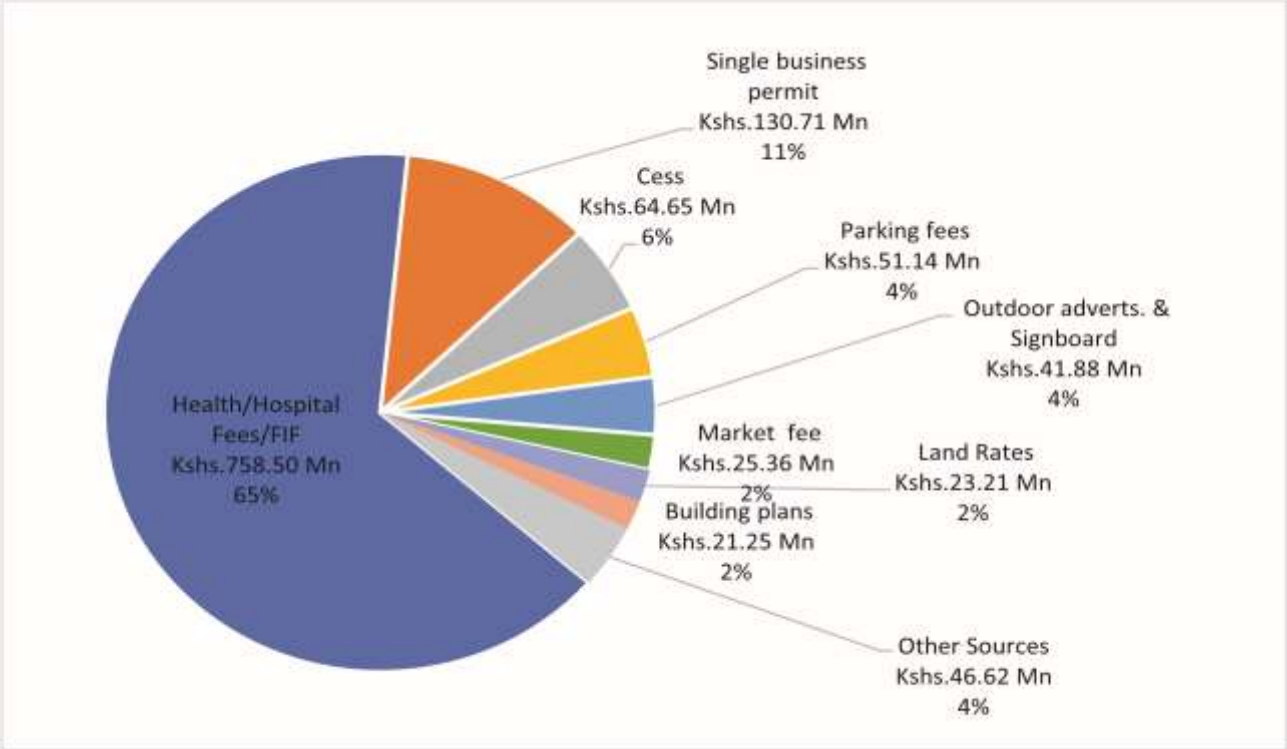
Figure 101: Meru County Trend in Own-Source Revenue Collection from FY 2019/20 to FY 2024/25



Source: *Meru County Treasury*

During the year, the County generated Kshs.1.16 billion from its revenue sources, including FIF. This amount was an increase of 19 per cent compared to Kshs.972.21 million realised in a similar period in FY 2023/24, and was 106 per cent of the annual target and 11 per cent of the equitable revenue share disbursed. The revenue streams which contributed the highest OSR receipts are shown in Figure 102

Figure 102: Meru County Top Own Source Revenue Streams in FY 2024/25



***Source**: Meru County Treasury*

As shown in Figure 102, the highest revenue stream, at Kshs.758.50 million, was from Health/Hospital Fees/FIF, accounting for 65 per cent of the total OSR receipts. The County Government indicated that it had automated 22 revenue streams out of 24.

3.26.3 Exchequers Approved

The Controller of Budget approved withdrawals of Kshs.11.08 billion from the CRF account in FY 2024/25, which comprised Kshs.2.70 billion (69 per cent) for development programmes and Kshs.8.38 billion (91 per cent) for recurrent programmes. Analysis of the recurrent exchequers released indicates that Kshs.5.29 billion was for employee compensation and Kshs.3.09 billion for operations and maintenance expenditures.

The operations and maintenance exchequer analysis indicates that 14 per cent was for domestic travel and 2 per cent for foreign travel. The domestic travel exchequer amounted to Kshs.431.27 million and included Kshs.173.24 million for the County Executive and Kshs.258.03 million for the County Assembly. The foreign exchequer totalled Kshs.60.97 million, comprising Kshs.3.94 million for the County Executive and Kshs.57.02 million for the County Assembly.

As of the closure of FY 2024/25, the County Government's cash balance in the CRF account was Kshs.704.24 million.

3.26.4 County Expenditure Review

The County spent Kshs.11.65 billion on development and recurrent programmes in the reporting period. This expenditure represented 105 per cent of the total funds released by the CoB. It comprised Kshs.2.84 billion for development programmes and Kshs.8.80 billion for recurrent programmes. Expenditure on development programmes represented an absorption rate of 73.3 per cent, while recurrent expenditures represented 95.4 per cent of the annual recurrent expenditure budget.

3.26.5 Settlement of Pending Bills

The County reported pending bills totalling Kshs.1.48 billion as of 30 June 2024. This amount included Kshs.1.47 billion from the County Executive and Kshs.12.92 million from the County Assembly. The pending bills from the County Executive consisted of Kshs.379.94 million for recurrent expenditures and Kshs.1.09 billion for development expenditures.

During the year, the County Executive settled pending bills amounting to Kshs.941.65 million, comprising Kshs.255.07 million (27 per cent) for recurrent programmes and Kshs.686.58 million (73 per cent) for

development programmes. On the other hand, the County Assembly settled pending bills worth Kshs.12.92 million, which included Kshs.10.27 million (79 per cent) for recurrent activities and Kshs.2.65 million (21 per cent) for development activities. Table 3.314 provides additional details of pending bills.

Table 3.314: Meru County Pending Bills as of 30 June 2025

	Pending Bills as of 1 July 2024 (Kshs.)	Settled Pending Bills in FY 2024/25 (Kshs.)	Pending bills incurred in FY 2024/25 (Kshs.)	Outstanding pending bills as of 30 June 2025 (Kshs.)
County Executive				
Recurrent	379,941,270	255,069,561	704,804,589	829,676,299
Development	1,085,393,938	686,583,243	449,906,547	848,717,242
Total	**1,465,335,208**	**941,652,804**	**1,154,711,136**	**1,678,393,540**
County Assembly				
Recurrent	10,266,700	10,266,700	63,540,239	63,540,239
Development	2,653,328	2,653,328	-	-
Total	**12,920,028**	**12,920,028**	**63,540,239**	**63,540,239**

Source: *Meru County Treasury*

The County Executive and the Assembly submitted a pending bills payment plan, committing to settle Kshs.1.00 billion and Kshs.12.92 million, respectively, in FY 2024/25. The County did not adhere to this payment plan, as it cleared Kshs.941.65 million for the Executive and Kshs.12.92 million for the Assembly.

Table 3.315 presents the ageing of the total outstanding bills as of 30 June 2025, which was Kshs.1.74 billion.

Table 3.315: County Meru Pending Bill Ageing Analysis as of 30th June 2025

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Pending Bills	**449,906,547**	**66,785,301**	**139,559,197**	**192,466,195**	**848,717,241**
Recurrent Pending Bills (Goods & Services)	308,358,189	51,856,744	16,499,615	56,515,351	**433,229,899**
Recurrent Pending Bills (Salary Arrears and Statutory Deductions)	423,498,669	0	0	0	**423,498,669**
Recurrent Pending Bills (Staff Claims)	36,487,970	0	0	0	**36,487,970**
Total Recurrent Pending Bills	768,344,828	51,856,744	16,499,615	56,515,351	893,216,538
Total Pending Bills	**1,218,251,375**	**118,642,045**	**156,058,812**	**248,981,546**	**1,741,933,778**
Total	**70**	**7**	**9**	**14**	**100**

Source: ***Meru County Treasury***

The County's pending bills as of 30th June 2025 show that 14 per cent of the pending bills are over 3 years, 9 per cent are aged between 2 and 3 years, 7 per cent are aged between 1 and 2 years, while 70 per cent of the pending bills are under one year. The County treasury is expected to pay the pending bills on the FIFO basis and ensure compliance with the Pending Bills Action Plan. However, Salary Arrears and pending Statutory Deductions are exceptions and should be prioritised for payment.

3.26.6 Expenditure by Economic Classification

The County Executive incurred Kshs.4.78 billion for compensation of employees, Kshs.3.00 billion for operations and maintenance, and Kshs.2.83 billion for development activities. Similarly, the County Assembly

spent Kshs.508.82 million on compensation of employees, Kshs.512.63 million on operations and maintenance, and Kshs.12.71 million on development activities, as shown in Table 3.316.

Table 3.316: Meru County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Revised Budget (Kshs.)		Expenditure (Kshs)		Absorption ()	
	County Executive	County Assembly	County Executive	County Assembly	County Executive	County Assembly
Total Recurrent Expenditure	**8,204,695,857**	**1,021,451,368**	**7,780,960,441**	**1,021,450,502**	**95**	**100**
Compensation to Employees	4,782,754,181	508,820,311	4,781,907,251	508,820,311	100	100
Operations and Maintenance	3,421,941,676	512,631,057	2,999,053,190	512,630,191	88	100
Development Expenditure	**3,759,826,634**	**122,972,485**	**2,831,941,718**	**12,706,381**	**75**	**10**
Total	**11,964,522,491**	**1,144,423,853**	**10,612,902,159**	**1,034,156,883**	**89**	**90**

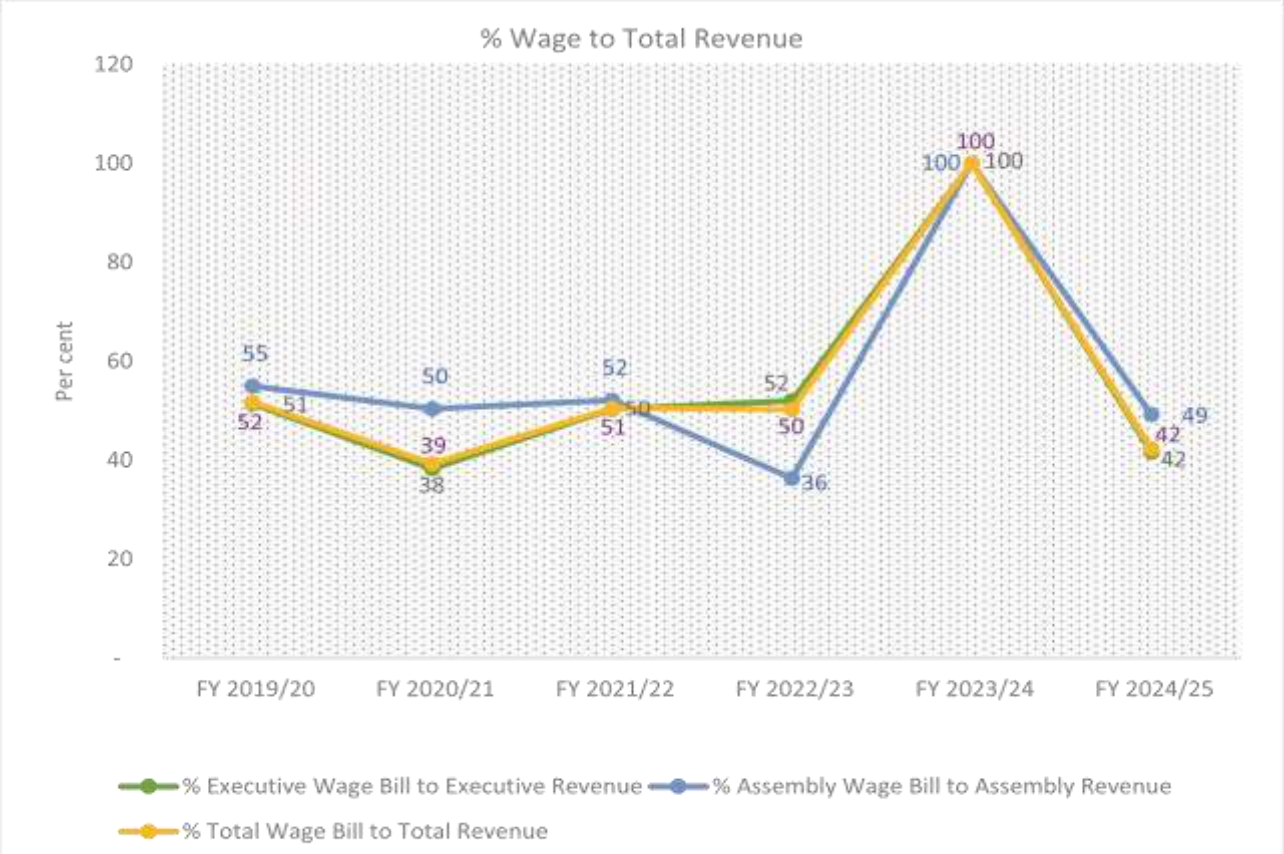
Source: Meru County Treasury

3.26.7 Expenditure on Compensation of Employees

During the period under review, the expenditure on employee compensation totalled 5.29 billion. Therefore, the percentage of compensation of employees to adjusted revenue, excluding the earnings from extractive revenue of Kshs.64.65 million, in line with Regulation 25(1)(c) of the PRM (County Governments) Regulations 2015, was 42.5 per cent. This expenditure on employee compensation shows an increase compared to the Kshs.5.06 billion reported in FY 2023/24. Of this total, Kshs.2.64 billion related to the Health Sector employees, which accounted for 50 per cent of the overall employees' compensation.

Figure 103 shows the compensation trend of employees' expenditures as a percentage of total revenue received from FY 2019/20 to FY 2024/25.

Figure 103: Percentage of Employee Compensation to Total Revenue Received from FY 2019/20 to FY 2024/25



Source: Meru County Treasury

Further analysis revealed that PE costs totalling Kshs.5.16 billion were processed through the Human Resource Information System (HRIS), while Kshs.111.75 million was processed through manual payroll, which accounted for 2 per cent of the total PE cost.

The manual payroll comprised salaries for four staff not onboarded into the Human Resource Information System (HRIS), salaries for 220 casuals, top-up allowance for security personnel, Fringe benefit tax, gratuity remittances to pension schemes for staff on contract, and honourable members, as shown in Table 3.317.

Table 3.317: Breakdown of Meru County Manual Payroll

Sno.	Description of Manual Payroll	Amount in Kshs.
1.	Salaries for four staff are yet to be onboarded into UHR	11,094,187.23
2.	Salaries for 220 casual staff	49,994,690.00
3.	Top-up Allowances for four security officers	1,512,000.00
4.	Gratuity for contract staff	8,393,715.00
5.	Gratuity for Hon. Members	24,205,192.77
6.	NSSF for Casual Staff	3,564,223.00
7.	Fringe benefit tax	12,971,664.00
	Total	**111,735,672.00**

Source: *Meru County Treasury*

The County Assembly spent Kshs.60.71 million on committee sitting allowances for the 69 MCAs and the speaker, against the annual budget allocation of Kshs.60.71 million. The average monthly sitting allowance was Kshs.72,270 per MCA. The County Assembly has 27 House Committees.

3.26.8 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.316.00 million to

County-Established funds in FY 2024/25, or 2 per cent of the County's overall budget. The County did not allocate funds to the Emergency Fund in FY 2024/25. However, it allocated Kshs.8.5 million for Emergency Relief (food, medicine, blankets, cash grants, tents, and other temporary shelter) as a line item in the budget, Contrary to Section 110 of the PFM Act, 2012. Table 3.318 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.318: Performance of Meru County Established Funds in FY 2024/25

Name of the Fund	Year Established	Approved Budget Allocation in FY 2024/25 (Kshs.)	Exchequer Issues in FY 2024/25 (Kshs.)	Actual Expenditure in FY 2024/25 (Kshs.)	Cumulative disbursements to the Fund (Kshs.)	Submission of Financial Statements (Yes/No.)
Meru County Retention and Enhancement Fund	2018	136,000,000	136,000,000		986,483,479	No
Meru County Executive Staff Housing	2015	150,000,000	149,999,892	8,462,363	724,817,352	Yes
County Assembly of Meru Staff Car Loan and Housing Scheme Fund	2015	30,000,000	30,000,000	1,653,216	277,692,366	Yes
County Assembly of Meru Members Car Loan and Housing Scheme Fund	2017	0	0	9,413,423	480,000,000	yes
Total		**316,000,000**	**315,999,892**	**19,529,002**	**2,468,993,197**	

Source: *Meru County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Meru County Retention and Enhancement Fund Administrators, as indicated in Table 3.318, contrary to the requirement of Section 168 of the PFM Act, 2012. The administration costs of the Meru County Executive Staff Housing, County Assembly of Meru Staff Car Loan and Housing Scheme and County Assembly of Meru Members Car Loan and Housing Scheme Funds were above the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

3.26.9 County Corporations

The County has eight County Corporations, which were allocated Kshs.551.32 million in FY 2024/25. Their total expenditure for the year amounted to Kshs.534.55 million as shown in Table 3.319.

Table 3.319: Performance of Meru County Corporations in FY 2024/25

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2024/25 (Kshs.)	Exchequer Issues in FY 2024/25 (Kshs.)	Actual Expenditure in FY 2024/25 (Kshs.)	Cumulative Exchequer Issues to the Corporation since its inception (Kshs.)
1.	Meru County Micro-Finance Corporation	78,758,591	78,726,386	84,091,924	593,244,977
2.	Meru County Investment and Development Corporation	21,600,000	21,600,000	31,441,554	250,837,976
3.	Meru County Revenue Board	346,660,640	341,241,480	341,366,271	1,720,914,414
4.	Meru Youth Service	12,800,000	12,799,991	13,159,413	234,800,000
5.	Kaguru ATC Board	17,000,000	16,999,969	15,000,975	87,080,916
6.	Meru Town Municipality Board	9,000,000	9,000,000		9,000,000
7.	Maua Municipality Board	5,500,000	5,500,000		5,500,000
8.	Meru County Alcoholic Drinks Control Board	60,000,000	0	49,489,997	
	Total	551,319,231	485,867,827	534,550,134	2,901,378,282

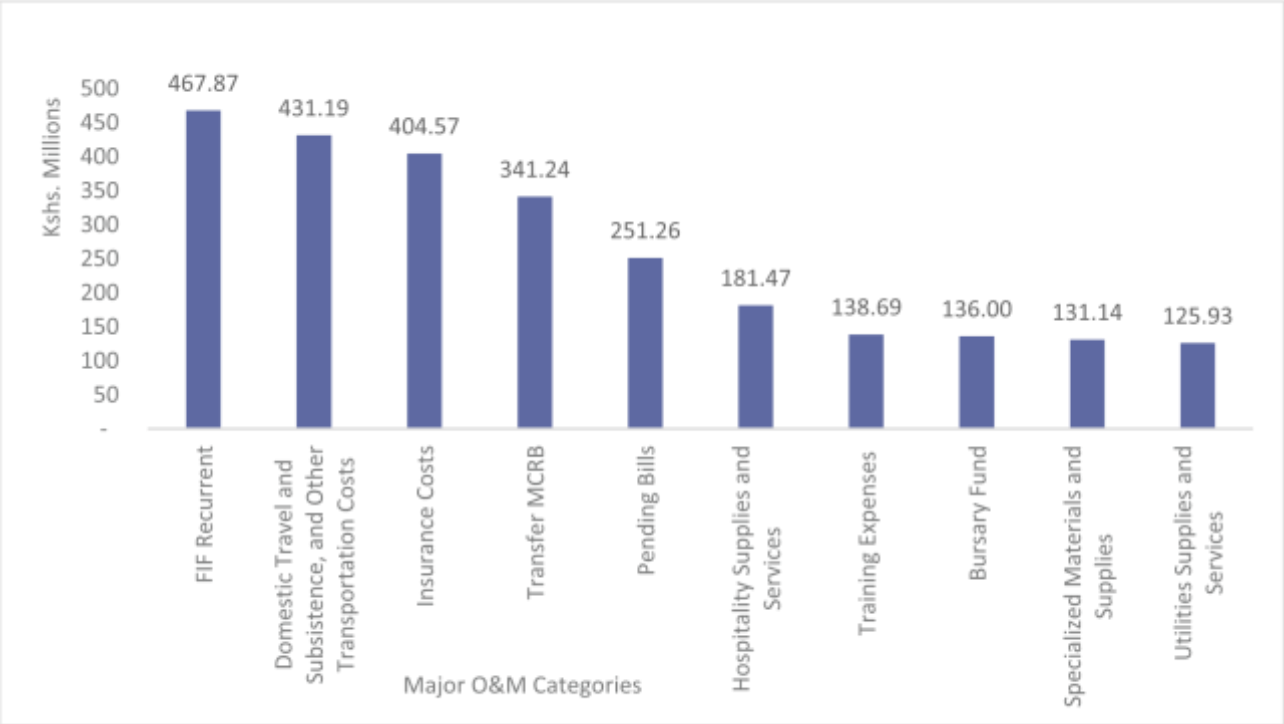
Source: *Meru County Treasury*

The Meru County Alcoholic Drinks Control Board is an autonomous board that funds its activities with the revenue it collects. The Board collected Kshs.53.37 million under Liquor Licences. The board budget estimates are not included in the overall County Government budget. The Financial reports for the Meru Town and Maua Municipalities boards were not provided.

3.26.10 Expenditure on Operations and Maintenance

Figure 104 summarises the Operations and Maintenance expenditure by major categories.

Figure 104: Meru County, Operations and Maintenance Expenditure by Major Categories



***Source**: Meru County Treasury*

Expenditure on domestic travel amounted to Kshs.431.19 million and comprised Kshs.258.03 million spent by the County Assembly and Kshs.173.16 million by the County Executive. Expenditure on foreign travel amounted to Kshs.61.10 million and comprised Kshs.4.07 million by the County Assembly and Kshs.57.02 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.320.

Table 3.320: Summary of Expenditure on Foreign Travel in FY 2024/25

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Assembly of Meru	7	15th to 22nd Sept 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,835,579
County Assembly of Meru	6	15th to 22nd Sept 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,382,421
County Assembly of Meru	7	15th to 22nd Sept 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,788,218
County Assembly of Meru	2	15th to 22nd Sept 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	771,594

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Assembly of Meru	7	22nd to 29th Sept 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,835,579
County Assembly of Meru	7	22nd to 29th Sept 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,835,579
County Assembly of Meru	1	25th to 30th Sept 2024	The Facilitation for the officer on the US travel to attend the UN summit was 4 days night out and a ticket of Kshs.111,000 from the County Assembly	US	379,830
County Assembly of Meru	7	29th Sept to 6th Oct 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,788,218
County Assembly of Meru	7	29th Sept to 6th Oct 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,788,218
County Assembly of Meru	7	29th Sept to 6th Oct 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,835,579
County Assembly of Meru	1	3rd to 10th Oct 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	405,797
County Assembly of Meru	4	29th Oct to 5th Nov 2024	Facilitation of workshop training on climate conversation	Tanzania	1,622,428
County Assembly of Meru	6	29th Oct to 5th Nov 2024	Facilitation of workshop training on climate conversation	Tanzania	2,429,782
County Assembly of Meru	5	29th Oct to 5th Nov 2024	Training Workshop on Infrastructure Project Management for County Assemblies & Other Devolved Governments Around Africa	Tanzania	2,023,985
County Assembly of Meru	7	29th Oct to 5th Nov 2024	Facilitation of the Benchmarking Exercise on Crop Production and Development	Tanzania	2,835,579
County Assembly of Meru	7	29th Oct to 5th Nov 2024	Facilitation of Training on Good Governance for all Inclusive Prosperity	MALYSIA	2,835,579

County Assembly of Meru	7	14th to 20th June 2025	Facilitation of a Conference on Project Planning and Management	Tanzania	2,800,000
County Assembly of Meru	7	13th to 19th June 2025	Facilitation of a Conference on Project Planning and Management	Tanzania	2,800,000
County Assembly of Meru	7	15th to 21st June 2025	Facilitation to Attend a Conference on Soil, Water and Air	Tanzania	2,800,000
County Assembly of Meru	7	15th to 21st June 2025	Facilitation to Attend a Conference on Food Security and Agriculture	Tanzania	2,800,000
County Assembly of Meru	7	13th to 19th June 2025	Facilitation to Attend a Conference on Result-Based Mgt	Tanzania	2,800,000
County Assembly of Meru	7	14th to 20th June 2025	Facilitation to Attend a Conference on Biodiversity, Ecology and Climate Change	Tanzania	2,800,000
Arm of County Government	**Number of Officers Travelled**	**Date travelled**	**Purpose of the travel**	**Destination**	**Total Costs of the Travel (Kshs.)**
County Assembly of Meru	7	15th to 21st June 2025	Facilitation to Attend a Conference on Youth, Gender Equality and Inclusive Representation	Tanzania	2,800,000
County Assembly of Meru	7	15th to 21st June 2025	Facilitation to Attend a Legislative Conference on Climate Conversation	Tanzania	2,800,000
County Executive	1	2nd to 13th Dec 2024	To Attend ESAMI Training on the Advanced Fraud Examiner's Programme	Tanzania	733,180
County Executive	1	2nd to 13th Dec 2024	To Attend ESAMI Training on the Advanced Fraud Examiner's Programme	Tanzania	733,180
County Executive	1	4th to 29th Nov 2024	Attending Onsite Training on Human Resources Development for GIT Diseases in Kenya	Japan	461,769
County Executive	1	30th Oct to 5th Nov 2024	Attending the 24th EAC SMEs Trade Fair	Juba-South Sudan	364,554
County Executive	1	30th Oct to 5th Nov 2024	Attending the 24th EAC SMEs Trade Fair	Juba-South Sudan	250,000
County Executive	3	30th Oct to 5th Nov 2024	Attending the 24th EAC SMEs Trade Fair	South Sudan	308,000
County Executive	2	30th Nov 2024	Return Air tickets to South Africa	South Africa	339,920
County Executive	1	5th Nov 2024	Return Air ticket to Juba	Juba	188,230
County Executive	3	30th Oct to 5th Nov 2024	Air tickets to South Sudan	South Sudan	564,690
County Executive	1	12th to 16th May 2025	Air tickets to Sweden for the ICLD Workshop	Sweden	135,332

Source: *Meru County Treasury and Meru County Assembly*

The travel to the US to Attend the UN Summit of the Future was sponsored by UN and the amount indicated was the County Assembly's support for the travelling officer.

3.26.11 Facility Improvement Financing

In FY 2024/25, the County reported collections of Kshs.758.50 million as FIF, which was 138 per cent of the annual target of Kshs.550.00 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023 (under The FIF is spent as per the County legislation governing the operation of ordinary A-I-A and FIF). The County has, however, drafted regulations to operationalise the FIF Act of 2023. The Bill was submitted to the County Assembly for review and approval.

In the reporting period, health facilities were owed a combined total of Kshs.313.97 million across the three schemes: the Social Health Authority (SHA), the Social Health Insurance Fund (SHIF), and outstanding debts from the defunct National Health Insurance Fund (NHIF). Table 3.321 presents a breakdown of the claims.

Table 3.321: Meru County Health Facilities FIF Performance in FY2024/25

Sno	Level of Health Facility and number of facilities	SHIF/ SHA			NHIF
		Approved Claims (Kshs.)	Claims Paid (Kshs.)	Balance (Kshs.)	Pending Debt (Kshs.)
1	One Level 5 Hospital	250,245,408	146,597,558	103,647,850	21,364,134
2	Fourteen Level 4 Health Facilities	295,274,398	186,278,721	108,995,677	79,962,442
	Total	**545,519,806**	**332,876,279**	**212,643,527**	**101,326,576**

Source: *Meru County Treasury*

In FY 2024/25, health facilities recorded approved claims from the Social Health Insurance Fund (SHIF) totalling Kshs.545.52 million, yet actual disbursements amounted to Kshs.332.88 million, resulting in an outstanding balance of Kshs.212.64 million. Further, the defunct National Health Insurance Fund (NHIF) still owes health facilities Kshs.101.33 million. Information on Level 2 and 3 Health Facilities has not been provided.

The expenditure by the health facilities amounted to Kshs.657.29 million, as shown in Table 3.322.

However, the amounts for the Approved Budget and Actual Expenditure vary with the amounts provided with the overall County expenditure, where the FIF Approved budget and actual expenditure were Kshs.550.00 million combined for Recurrent and development (I.e., Kshs.467.87 million and Kshs.82.13 million recurrent and development, respectively).

Table 3.322: Meru County Health Facilities Expenditure Performance in FY 2024/25

No.	Level of Health Facility and number of facilities	Approved Budget for the Facility (Kshs.)	Actual Expenditure of the Facility (Kshs.)	Absorption rate ()
1.	One Level 5 Hospital	364,708,168	334,551,705	92
2.	Fourteen Level 4 Health Facilities	329,894,860	322,677,697	98
	Total	**694,603,028**	**657,229,402**	95

Source: Meru County Treasury

3.26.12 Development Expenditure

In the review period, the County reported spending Kshs.2.84 billion on development programmes, a decrease of 4 per cent compared to FY 2023/24, when the County spent Kshs.2.97 billion. Table 3.323 summarises the development projects with the highest expenditure in the reporting period.

Table 3.323: Meru County, List of Development Projects with the Highest Expenditure

No.	Sector	Project Name	Project Location	Expected Completion Date	Contract sum (Kshs)	Amount paid in FY 2024/25 (Kshs.)	Cumulative Expenditure as of 30 June 2025	Implementation status ()

1	Trade, Tourism & Coopera-tives Development	construction of County aggregation and indus-trial parks in Meru County	Ruiri Rwa Rera	30 August 2025	492,212,714	286,012,444	420,075,101	85
2	Roads, Transport & Energy	Hire of Vehicles, Plants and Equipment for Infrastructure and Civil Works-Flagship and Ward Fund Projects	Buuri	20 June 2024	168,000,000	168,000,000	168,000,000	100
3	Health Services	Supply, delivery, installation, testing, training and commis-sioning of a true 64-slice computerised tomography scan machine (CTscan) at Meru teaching and referral hospital in Meru County.	Munici-pality	12 May 2025	69,950,786	69,950,786	69,950,786	100
No.	**Sector**	**Project Name**	**Project Location**	**Expected Completion Date**	**Contract sum (Kshs)**	**Amount paid in FY 2024/25 (Kshs.)**	**Cumulative Expenditure as of 30 June 2025**	**Implemen-tation status ()**
4	Water, Environment & Climate Change	Equipping Of Solar-Powered Boreholes Lot 3	Imenti North ward, Igembe & Tigania regions	2024/2025	39,912,187	39,520,335	39,520,335	99
5	Water, Environment & Climate Change	Supply and Delivery Of 210 Litres Rainwater Harvesting Tanks	Groups around the County	30 June 2025	35,753,250	35,753,250	35,753,250	100
6	Health Services	Procurement of the proposed com-pletion of the ward block at Miathene Sub -Sub-County Hospital	Kianjai	11 June 2025	20,988,129	20,988,129	20,988,129	100

7	Water, Environment & Climate Change	Procurement of a solid waste management truck	Headquar-ters	30 June 2025	13,283,000	13,283,000	13,283,000	100
8	Health Services	Procurement for the proposed completion of male wards at Nyambene level 4 hospital.	Maua	11 June 2025	12,998,892	12,998,892	12,998,892	100
9	Health Services	Procurement for the proposed construction of the inpatient male ward at Mutuati level 4 hospital.	Amwathi	11 June 2025	10,997,398	10,997,398	10,997,398	100
10	Lands, Physical Planning & Urban Development	Contracted Professional Services for Urban Spatial Plans (Extended Mikinduri)	Meru County	19 May 2025	36,996,750	10,989,000	10,989,000	30

Source: Meru County Treasury

The County did not report any stalled development projects as of 30 June 2025.

3.26.13 Budget Performance by Department

Table 3.324 summarises the approved budget allocation, expenditure and absorption rate by departments in the period under review.

Table 3.324: Meru County, Budget Allocation and Absorption Rate by Department

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer ()		Absorption rate ()	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	1,021.45	122.97	1,021.45	12.71	1,021.45	12.71	100	100	100	10
Office of the Governor	209.20	-	181.23	-	181.37	-	100	-	87	-
Finance, Economic Planning and ICT	937.53	240.30	915.38	229.95	915.38	229.95	100	100	98	96
Agriculture, Livestock & Fishery	56.78	315.95	49.62	99.95	50.34	164.98	101	165	89	52
Water & Irrigation	46.87	499.50	43.61	269.23	43.61	269.23	100	100	93	54
Education, Technology, Gender, Culture & Social Development	210.13	129.78	174.78	108.20	174.78	108.20	100	100	83	83
Health Services	1,052.75	425.40	402.41	196.87	816.31	279.00	203	142	78	66

Lands, Physical Planning, Urban Development & Public Works	100.52	384.68	79.54	240.12	79.54	240.12	100	100	79	62
Public Service Administration & Legal Affairs	5,352.76	105.00	5,307.56	105.00	5,308.82	105.00	100	100	99	100
Roads, Transport & Energy	45.20	1,194.43	39.17	1,015.68	39.17	1,015.68	100	100	87	85
Trade, Investment, Industrialisation, Tourism & Co-op Development	33.47	426.48	21.92	397.48	21.92	397.48	100	100	65	93
Youth Affairs & Sports	109.33	38.30	100.28	22.30	104.33	22.30	104	100	95	58
County Public Service Board	50.16	-	45.40	-	45.40	-	100	-	91	-
TOTAL	**9,226.15**	**3,882.80**	**8,382.35**	**2,697.49**	**8,802.41**	**2,844.65**	105	105	95	73

Source: Meru County Treasury

Analysis of expenditure by departments shows that the Department of Public Service Administration & Legal Affairs recorded the highest absorption rate of development budget at 100 per cent, followed by the Department of Finance, Economic Planning and ICT at 96 per cent. The County Assembly had the highest percentage of recurrent expenditure to budget at 100 per cent, while the Department of Trade, Investment, Industrialisation, Tourism & Co-op Development had the lowest at 65 per cent.

There was over-expenditure above the exchequer issues in Agriculture, Livestock & Fishery, Youth Affairs & Sports, and Health Services departments. The over-expenditure above the exchequer requisitions in the Department of Health Services arose due to the spending of health FIF, which is not swept to the CRF. The FIF is spent as per the County legislation governing the operation of ordinary A-I-A and FIF. The amounts expended were Kshs.82.13 million and Kshs.467.87 million for development and recurrent expenditure respectively while for the Agriculture, Livestock & Fishery it was due to failure to utilise funds as per exchequer issues.

3.26.14 Key Observations and Recommendations

In the course of overseeing and reporting on the implementation of the County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 4th to 14th August 2025.
ii. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Meru County Retention and Enhancement Fund Fund, were not submitted to the CoB as of 15 July 2025.
iii. High level of pending bills, which amounted to Kshs.1.74 billion as of 30 June 2025. Further, there was non-adherence to the payment plan for the pending bills by the County Treasury.
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.61.09 million for 4 staff members not onboarded into HRIS and 220 casual staff were processed through manual payroll, accounting for 1 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
v. During the FY2024/25 reporting period, health facilities were owed a combined total of Kshs.313.97 million across the two schemes—SHIF and the defunct NHIF. The persistent delay in remitting approved claims undermines hospitals' ability to generate and utilise revenue at source as intended, thereby constraining their capacity to fund critical operations, procure essential medical supplies, and deliver quality healthcare services.
vi. The County Assembly did not adhere to the budget provisions, as evidenced by the recurrent pending bills of Kshs.63.54 million, whereas the recurrent budget was 100 per cent absorbed.

vii. The County Treasury did not submit copies of authorisation letters to the Controller of Budget for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015

viii. Administration costs of the Meru County Executive Staff Housing, County Assembly of Meru Staff Car Loan and Housing Scheme and County Assembly of Meru Members Car Loan and Housing Scheme Funds were above the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Office of the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*

ii. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*

iii. *The CECMF should ensure that all Fund Administrators submit financial and non-financial reports to the Controller of Budget by the 15th of the month after each quarter, as required by Section 168 of the PFM Act, 2012.*

iv. *The County Leadership should address the situation of pending bills to ensure that genuine bills are paid promptly. Further, compliance with the Pending Bills Action Plan should be enforced.*

v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

vi. *The County Leadership should liaise with the Social Health Authority for the settlement of outstanding claims.*

vii. *The Fund Administrators of the Meru County Executive Staff Housing, County Assembly of Meru Staff Car Loan and Housing Scheme and County Assembly of Meru Members Car Loan and Housing Scheme Funds should ensure the administration costs are within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015* viii. *The County Treasury should be consistent in reporting of pending bills and ensure accuracy in the computation.* ix. *The County Treasury should ensure it submits all expenditure and revenue for all County Corporations and Boards to OCOB.*

x. *The County Treasury should ensure reconciliation is carried out on FIF expenditures before they are submitted to ensure accuracy in reporting.*